

SECOND REGULAR SESSION

SENATE BILL NO. 880

103RD GENERAL ASSEMBLY

INTRODUCED BY SENATOR TRENT.

5562S.011

KRISTINA MARTIN, Secretary

AN ACT

To repeal section 143.011, RSMo, and to enact in lieu thereof one new section relating to taxation.

Be it enacted by the General Assembly of the State of Missouri, as follows:

Section A. Section 143.011, RSMo, is repealed and one new
2 section enacted in lieu thereof, to be known as section 143.011,
3 to read as follows:

143.011. 1. A tax is hereby imposed for every taxable
2 year on the Missouri taxable income of every resident. The
3 tax shall be determined by applying the tax table or the
4 rate provided in section 143.021, which is based upon the
5 following rates:

6 7	If the Missouri taxable income is:	The tax is:
8 9	Not over \$1,000.00	1 1/2% of the Missouri taxable income
10 11	Over \$1,000 but not over \$2,000	\$15 plus 2% of excess over \$1,000
12 13	Over \$2,000 but not over \$3,000	\$35 plus 2 1/2% of excess over \$2,000
14 15	Over \$3,000 but not over \$4,000	\$60 plus 3% of excess over \$3,000
16 17	Over \$4,000 but not over \$5,000	\$90 plus 3 1/2% of excess over \$4,000

18	Over \$5,000 but not	\$125 plus 4% of excess over
19	over \$6,000	\$5,000
20	Over \$6,000 but not	\$165 plus 4 1/2% of excess
21	over \$7,000	over \$6,000
22	Over \$7,000 but not	\$210 plus 5% of excess over
23	over \$8,000	\$7,000
24	Over \$8,000 but not	\$260 plus 5 1/2% of excess
25	over \$9,000	over \$8,000
26	Over \$9,000	\$315 plus 6% of excess over
27		\$9,000

28 2. (1) Notwithstanding the provisions of subsection 1
 29 of this section to the contrary, beginning with the 2023
 30 calendar year, the top rate of tax pursuant to subsection 1
 31 of this section shall be four and ninety-five hundredths
 32 percent.

33 (2) The modification of tax rates made pursuant to
 34 this subsection shall apply only to tax years that begin on
 35 or after January 1, 2023.

36 (3) The director of the department of revenue shall,
 37 by rule, adjust the tax table provided in subsection 1 of
 38 this section to effectuate the provisions of this
 39 subsection. The top remaining rate of tax shall apply to
 40 all income in excess of seven thousand dollars, as adjusted
 41 pursuant to subsection 5 of this section.

42 3. (1) In addition to the rate reduction under
 43 subsection 2 of this section, beginning with the 2024
 44 calendar year, the top rate of tax under subsection 1 of
 45 this section may be reduced by fifteen hundredths of a
 46 percent. A reduction in the rate of tax shall take effect

47 on January first of a calendar year and such reduced rates
48 shall continue in effect until the next reduction occurs.

49 (2) A reduction in the rate of tax shall only occur if
50 the amount of net general revenue collected in the previous
51 fiscal year exceeds the highest amount of net general
52 revenue collected in any of the three fiscal years prior to
53 such fiscal year by at least one hundred seventy-five
54 million dollars.

55 (3) Any modification of tax rates under this
56 subsection shall only apply to tax years that begin on or
57 after a modification takes effect.

58 (4) The director of the department of revenue shall,
59 by rule, adjust the tax tables under subsection 1 of this
60 section to effectuate the provisions of this subsection.

61 4. (1) In addition to the rate reductions under
62 subsections 2 and 3 of this section, beginning with the
63 calendar year immediately following the calendar year in
64 which a reduction is made pursuant to subsection 3 of this
65 section, the top rate of tax under subsection 1 of this
66 section may be further reduced over a period of years. Each
67 reduction in the top rate of tax shall be by one-tenth of a
68 percent and no more than one reduction shall occur in a
69 calendar year. No more than three reductions shall be made
70 under this subsection. Reductions in the rate of tax shall
71 take effect on January first of a calendar year and such
72 reduced rates shall continue in effect until the next
73 reduction occurs.

74 (2) (a) A reduction in the rate of tax shall only
75 occur if:

76 a. The amount of net general revenue collected in the
77 previous fiscal year exceeds the highest amount of net
78 general revenue collected in any of the three fiscal years

79 prior to such fiscal year by at least two hundred million
80 dollars; and

81 b. The amount of net general revenue collected in the
82 previous fiscal year exceeds the amount of net general
83 revenue collected in the fiscal year five years prior,
84 adjusted annually by the percentage increase in inflation
85 over the preceding five fiscal years.

86 (b) The amount of net general revenue collected
87 required by subparagraph a. of paragraph (a) of this
88 subdivision in order to make a reduction pursuant to this
89 subsection shall be adjusted annually by the percent
90 increase in inflation beginning with January 2, 2023.

91 (3) Any modification of tax rates under this
92 subsection shall only apply to tax years that begin on or
93 after a modification takes effect.

94 (4) The director of the department of revenue shall,
95 by rule, adjust the tax tables under subsection 1 of this
96 section to effectuate the provisions of this subsection.
97 The bracket for income subject to the top rate of tax shall
98 be eliminated once the top rate of tax has been reduced
99 below the rate applicable to such bracket, and the top
100 remaining rate of tax shall apply to all income in excess of
101 the income in the second highest remaining income bracket.

102 5. Beginning with the 2017 calendar year, the brackets
103 of Missouri taxable income identified in subsection 1 of
104 this section shall be adjusted annually by the percent
105 increase in inflation. The director shall publish such
106 brackets **on the department's website** annually beginning on
107 or after October 1, 2016. Modifications to the brackets
108 shall take effect on January first of each calendar year and
109 shall apply to tax years beginning on or after the effective
110 date of the new brackets.

111 6. As used in this section, the following terms mean:

112 (1) "CPI", the Consumer Price Index for All Urban
113 Consumers for the United States as reported by the Bureau of
114 Labor Statistics, or its successor index;

115 (2) "CPI for the preceding calendar year", the average
116 of the CPI as of the close of the twelve-month period ending
117 on August thirty-first of such calendar year;

118 (3) "Net general revenue collected", all revenue
119 deposited into the general revenue fund, less refunds and
120 revenues originally deposited into the general revenue fund
121 but designated by law for a specific distribution or
122 transfer to another state fund;

123 (4) "Percent increase in inflation", the percentage,
124 if any, by which the CPI for the preceding calendar year
125 exceeds the CPI for the year beginning September 1, 2014,
126 and ending August 31, 2015.

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